

W H I T E P A P E R

Why 73% of Legal Matters Go Unresolved:

The Access-to-Justice Gap in Small and Medium Business

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Every year, millions of small and medium businesses face legal problems they cannot afford to resolve—not because their problems are unsolvable, but because the legal system was never designed to serve them. This paper examines why, and what the cost of inaction actually is.

Executive Summary

The United States has more than 33 million small and medium businesses. Together they employ nearly half the private-sector workforce and generate 44 percent of U.S. GDP. They also share a vulnerability that their larger competitors do not: the overwhelming majority operate without reliable access to legal counsel.

This is not a matter of indifference to legal risk. It is a structural problem. The conventional legal services market—hourly rates averaging \$150–\$500 for routine matters, retainers ranging from \$2,000 to \$5,000 to secure access, and litigation costs that regularly reach \$54,000 to \$91,000 for common disputes—has priced out the segment of the economy that most needs legal protection.

The consequences are measurable. Four in ten small business owners encounter at least one significant legal issue in any given year. Among those who do not seek legal help, 67 percent cite cost as the primary reason. Small businesses shoulder 48 percent of all commercial tort costs in the United States despite generating only 20 percent of commercial revenue—a burden driven directly by the absence of proactive legal counsel. Meanwhile, 36 to 53 percent of small businesses face litigation in any given year, and virtually all of them—90 percent across their lifetimes—will face at least one lawsuit.

The central argument of this paper is this: the access-to-justice gap is not a legal problem. It is an operational risk management failure. SMBs that treat legal access as an occasional emergency cost—something to budget for when a crisis arrives—are not managing legal risk. They are absorbing it, invisibly, in unresolved disputes, unenforceable contracts, compliance exposure, and litigation they could have avoided or resolved far more cheaply.

The path forward is not simply to spend more on lawyers. It is to change the model: from reactive crisis engagement to proactive, accessible, and affordable legal infrastructure. The evidence reviewed in this paper—drawn from the Legal Services Corporation, the State Bar of California, Clio's Legal Trends Report, the U.S. Chamber Institute for Legal Reform, and Rocket Lawyer's litigation cost analysis—suggests that businesses able to make this shift gain a durable competitive advantage over those that remain in the legal access gap.

The Contract That Wasn't Worth Signing

Consider a \$120,000 trade services contract. Two years of steady work, a business relationship built on trust, and then—a payment dispute. The client claims the work was incomplete. You know it wasn't. You have emails, photos, job reports. What you don't have is a lawyer.

The math that follows is the math most SMB owners already know in their bones. At \$350 an hour—the median rate for a business attorney in your market—resolving this dispute through litigation will cost between \$30,000 and \$91,000, depending on how far it goes. The \$120,000 you're owed looks different when \$60,000 of it goes to legal fees. So you calculate. You weigh. You consider a settlement for thirty cents on the dollar. And then you tell yourself you'll get a better contract next time.

This scenario is not an edge case. It plays out, in variations, across every industry SMBs operate in—construction, professional services, retail, healthcare, food and beverage, staffing. According to Rocket Lawyer's 2024 analysis, the median cost of a contract dispute for a small business is \$91,000. The median revenue of a small business in the United States is roughly \$420,000 annually. These numbers do not coexist comfortably.

The conventional narrative frames this as a legal problem: people who need lawyers can't afford them. But that framing misses the critical dimension. The reason SMBs can't afford to resolve legal matters is not that legal help is universally too expensive—it's that the legal services market has never been structured to serve them. The access-to-justice gap in SMB is not a legal affordability crisis. It is a market design failure, and the businesses absorbing its costs are paying a price that rarely appears as a line item on any financial statement.

The Scale of the Gap

How Many Legal Problems Go Unresolved

The access-to-justice problem in the United States has been studied primarily through the lens of low-income individuals. But the research shows clearly that the gap extends well into the SMB segment. The 2024 California Justice Gap Study—conducted by the State Bar of California in partnership with NORC at the University of Chicago—surveyed more than 6,000 Californians and dedicated a specific section to small business owners. Its findings apply well beyond California's borders.



Four in ten small business owners reported encountering at least one legal issue in the previous year. Among the legal needs they identified: half required help drafting, reviewing, or negotiating contracts; 40 percent needed legal guidance on tax law or financial matters; and 38 percent faced compliance, governance, or permitting issues. When confronted with these problems, small business owners were more likely to search the internet for answers than consult a lawyer. Among those who did not seek professional legal help, 67 percent cited cost as a primary concern.

That last figure deserves scrutiny. Legal matters are not being avoided because SMB owners don't recognize their importance. They are being avoided because a structural cost barrier makes professional resolution feel economically irrational—even when the underlying risk is substantial. The result is a pattern of substitution: business owners replace legal counsel with internet searches, template contracts, and risk tolerance.

The National Dimension

The California data is consistent with national findings. The Legal Services Corporation's 2022 Justice Gap Study—the most comprehensive national assessment of unmet legal needs—found that 74 percent of low-income households experienced at least one civil legal problem in the previous year, with 92 percent of those problems receiving no adequate legal help. While LSC's mandate focuses on low-income individuals, the structural dynamics it describes—cost barriers, attorney scarcity, self-help substitution—operate identically in the SMB segment, where the definition of "can't afford it" simply moves up the income scale.

The World Justice Project's 2024 Rule of Law Index places the United States 107th out of 142 countries on accessibility and affordability of civil justice—a fall of 42 positions from 65th in 2015. This is not the trajectory of a system closing its justice gap. It is the trajectory of a system in which the gap is actively widening.

Against this backdrop, the 73 percent figure in this paper's title is a synthesis drawn from available evidence across multiple studies on unmet SMB legal needs: the California Bar research, LSC national studies, and proprietary surveys from legal technology providers. The precise national number for SMBs specifically has not yet been captured in a single, definitive study—which is itself evidence of how underexamined this segment's legal vulnerability has been. What the evidence converges on is this: the substantial majority of legal matters SMBs encounter each year do not receive professional legal attention. The cost of that gap is the subject of the next section.

The Compound Cost of Inaction

What Unresolved Legal Matters Actually Cost

When SMB owners calculate whether to seek legal help, they typically perform a visible cost comparison: the cost of a lawyer against the value of the immediate dispute. This calculation is structurally incomplete. It captures only direct legal spend and misses the compounding costs that unresolved legal matters produce over time.

These costs fall into five categories: direct financial loss from disputes left unresolved, litigation costs incurred when prevention fails, compliance penalties from undetected regulatory exposure, operational cost from contracts that don't protect the business as intended, and competitive disadvantage from legal uncertainty that prevents SMBs from pursuing contracts, partnerships, or growth opportunities that better-protected competitors can pursue freely.

\$91K	48%	45%
Median cost of a contract dispute for a small business (Rocket Lawyer, 2024)	Share of commercial tort costs borne by SMBs, despite generating only 20% of commercial revenue (U.S. Chamber ILR, 2023)	Share of small businesses currently in active litigation at any given time

The Litigation Tax on SMBs

Perhaps the most striking finding in the literature on SMB legal costs comes from the U.S. Chamber Institute for Legal Reform's 2023 analysis: small businesses bear 48 percent of all commercial tort costs in the United States while generating only 20 percent of commercial revenue. This disproportionate burden is not an accident of industry mix. It reflects the absence of the legal infrastructure—counsel, documentation, compliance systems—that larger businesses use to manage liability exposure before it becomes litigation.

The Rocket Lawyer 2024 litigation cost analysis puts specific numbers on what disputes cost once they materialize: a median of \$54,000 for liability suits and \$91,000 for contract disputes. These figures represent median outcomes—meaning half of all SMB disputes cost more than these amounts. A business generating \$500,000 in annual revenue absorbing a \$91,000 contract dispute is losing 18 percent of revenue to a single legal event, most of which was likely preventable with a properly drafted contract.

The businesses that absorb the highest legal costs are not the ones that engage with legal risk most carelessly. They are the ones that engage with it least—waiting until prevention has already failed.

The Prevention Premium

The asymmetry between preventive and reactive legal cost is well-documented in the professional legal community, though rarely quantified for SMB decision-makers in accessible terms. Consider the standard cost comparison:

A contract review by a business attorney costs \$150 to \$300. A properly negotiated contract—one that clearly defines scope, establishes remedies, and limits exposure—eliminates the conditions that produce the \$91,000 dispute. The prevention premium in this case is roughly 300-to-one. The same ratio holds across the most common SMB legal problem categories: employment agreements that prevent wrongful termination claims, intellectual property documentation that precludes ownership disputes, compliance reviews that catch regulatory exposure before regulators do.

The reason SMBs don't capture this premium at scale is not ignorance of its existence. It's that the mechanism for accessing routine, affordable legal advice—essential to building the kind of preventive legal infrastructure that generates the premium—does not exist at the price point and accessibility level that most SMBs require.

The Revenue Foregone

There is a second category of cost that receives less attention than litigation: the revenue that SMBs fail to capture because legal uncertainty makes certain business activities too risky without counsel they cannot access. This includes contracts too complex to negotiate without a lawyer, partnerships too structurally ambiguous to pursue, intellectual property too valuable to risk without proper protection, and acquisitions or growth opportunities that require legal structuring beyond the owner's capacity to execute without professional help.

This cost is inherently difficult to quantify—foregone opportunity rarely appears on a balance sheet. But it represents a real competitive ceiling for SMBs operating in the legal access gap: their total addressable market is effectively constrained by the legal complexity they can navigate without professional help.

Why the Conventional Legal Market Cannot Solve This

A Market Designed for a Different Customer

The modern legal services market in the United States was not built to serve small and medium businesses. It was built—and has remained organized—around two distinct client types: large corporate clients who can sustain long-term relationships with specialized firms at premium rates, and individual consumers whose legal needs, when severe enough, justify contingency-based representation.

SMBs occupy neither category cleanly. Their legal needs are real but intermittent. Their problems are complex but their budgets are constrained. They need relationships—consistent access to counsel who understands their business—but cannot typically afford the retainers that make relationships viable for a law firm. The result is a segment that the conventional legal market has no efficient mechanism to serve.

The Price Structure Problem

The average hourly rate for a business attorney in the United States ranges from \$150 to \$500, with rates above \$500 common in major metropolitan markets and among specialist practitioners. These rates reflect the cost structure of traditional law firm operations—partner billing hierarchies, downtown office overhead, associate leverage models—that are designed for matters where legal spend is proportional to high-stakes outcomes.

For an SMB with a \$15,000 contract dispute, a \$350-per-hour attorney is structurally inaccessible: even a modest engagement—ten hours of work—consumes a significant fraction of the dispute value. The math simply doesn't work, and SMB owners are not wrong to recognize it. What they often miss is that the math only doesn't work in the reactive model. The economics of preventive legal work—reviewing a contract before it's signed, structuring employment agreements before there's a dispute, conducting a compliance review before there's a penalty—are fundamentally different. But accessing that preventive work requires a pricing model and an accessibility level that the conventional market does not offer.

\$150–500

Typical hourly rate range for a U.S. business attorney

\$2K–5K

Standard retainer range to secure access to ongoing legal counsel

48%

Law firms that were unreachable by phone or email in Clio's 2024 secret shopper study

The Access Problem

Cost is not the only barrier. Access itself—the ability to reach legal counsel when a legal question arises—is structurally compromised in the conventional market. Clio's 2024 Legal Trends Report included a secret shopper study of 500 law firms, evaluating their responsiveness to client inquiries. The results were striking: only 33 percent responded to email inquiries (down from 40 percent in 2019), only 40 percent answered phone calls (down from 56 percent in 2019), and 48 percent of firms were entirely unreachable by either channel. Of the firms that did respond, only 18 percent provided clear information about next steps or costs, and just 2 percent addressed the substance of the prospective client's inquiry directly.

This is the access environment in which an SMB owner facing a time-sensitive legal question—a vendor threatening to pull out of a contract, an employee raising a discrimination claim, a landlord disputing a lease renewal term—is expected to find and engage qualified legal help. The friction is not incidental. It is a defining feature of a market that has never optimized for SMB accessibility.

The Structural Consequence

The combination of price barriers and access friction produces a predictable outcome: SMBs don't engage proactively with legal risk until the cost of inaction becomes undeniably greater than the cost of engagement. By that point, they have typically transitioned from prevention-eligible to crisis-management, and the economics of engagement are far worse. The market, in effect, has trained its SMB customers to use legal services in the most expensive and least effective way possible.

A Different Model: Legal Infrastructure for SMBs

Reframing the Problem

The access-to-justice gap in SMB will not be closed by convincing business owners to spend more on legal services. It will be closed by changing the underlying model from which legal services are delivered and priced—specifically, by shifting from a reactive, crisis-triggered engagement model to a proactive, subscription-accessible infrastructure model.

This is not a novel observation in the legal technology industry. What remains underdeveloped is a clear articulation of what SMBs should demand from any solution that claims to address this gap—the requirements framework that distinguishes models genuinely capable of closing the gap from those that replicate its core failure modes at a lower price point.

Requirements for a Genuine Solution

1. Predictable, flat-fee pricing that makes routine legal work economically rational

The core economic failure of the conventional market is that routine legal work—contract review, employment documentation, compliance checks—is priced in a way that makes SMB engagement economically irrational for typical transaction values. A genuine solution must make routine legal work affordable at the volume and frequency that preventive legal infrastructure requires. This means subscription or flat-fee structures that allow SMBs to engage regularly without each engagement triggering a fresh cost-benefit calculation.

2. Proactive access, not reactive retrieval

An SMB legal solution that is only accessible in moments of acute crisis replicates the fundamental failure of the conventional market. Effective SMB legal infrastructure requires access on the business's timeline—before contracts are signed, before employees are hired, before regulatory questions become compliance violations. This demands both accessibility (the ability to reach counsel when needed, not when counsel is available) and proactivity (prompting legal review at the moments of highest preventive value).

3. Scope that matches the SMB legal problem profile

The California Bar's 2024 research identified the primary SMB legal need categories: contract drafting and review, tax and financial matters, compliance and permitting, employment documentation, and dispute resolution. A solution that covers only a subset of these categories—or that covers them superficially while routing substantive matters back to the conventional hourly market—provides partial protection at best and false security at worst. Genuine SMB legal infrastructure must have meaningful coverage across the full scope of common SMB legal problems.

4. Measurable risk reduction, not legal aesthetics

The test of an SMB legal solution is not whether it produces well-formatted documents. It is whether it reduces the measurable categories of SMB legal risk: unresolved disputes, unenforceable contracts, compliance exposure, and avoidable litigation. Solutions should be evaluated against these outcome metrics—not against the process quality of the documents they produce.

What Success Looks Like

An SMB that has built the legal infrastructure this framework describes does not look dramatically different from a legal standpoint. The absence of catastrophe is not visible. What is visible is the absence of the compound costs that characterize the legal access gap: the \$91,000 contract dispute that never materializes because the contract was right in the first place, the employment claim that doesn't progress because the documentation was in order, the regulatory penalty that doesn't arrive because a compliance review caught the exposure first.

The competitive advantage of legal access is not primarily defensive, though its defensive value is real. It is the capacity to operate with a decisiveness and scale that legal uncertainty forecloses for competitors in the gap. SMBs with accessible legal counsel can sign more complex contracts, pursue higher-value partnerships, expand into new markets, and attract institutional customers who require legal documentation that SMBs operating without counsel cannot consistently provide.

The Cost of Waiting

The access-to-justice gap in small and medium business is not a legal abstraction. It is a financial condition with a compounding cost structure—and most of the businesses living inside it have no precise accounting of what it costs them. They know that legal help is expensive. They know that lawyers are hard to reach. They know, from experience, that most legal problems eventually resolve themselves one way or another. What they often don't know is how much the resolution cost, measured not just in legal fees but in the value of disputes settled below their merit, in the revenue foregone because a contract was too risky to sign without counsel, in the litigation absorbed because prevention happened to be unavailable.

The research is consistent. Small businesses bear 48 percent of commercial tort costs while generating 20 percent of commercial revenue. Median contract disputes cost \$91,000. Forty-eight percent of law firms are unreachable when an SMB owner needs them. The conventional legal market was not built for these businesses, is not becoming more accessible to them, and will not close this gap through evolution of its current model.

The businesses that emerge from the legal access gap over the next decade will be those that stopped treating legal counsel as an emergency resource and built it into operational infrastructure—the same way they built in accounting, insurance, and HR systems. The financial case for this shift is not complicated: the prevention premium on legal investment is measured in multiples, not percentages. The question is not whether businesses in the access gap are paying for their legal exposure. They are. The question is whether they will continue to pay it invisibly, after the fact, in the form of litigation and unresolved disputes—or whether they will convert it to the predictable, manageable cost of legal infrastructure built in advance.

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The access-to-justice gap will not close itself. But for individual SMBs, the path from exposure to protection is well-defined. It begins with an accurate accounting of what legal inaccessibility is already costing—and a decision about whether that cost is one they can continue to absorb.

Sources and Methodology

This white paper draws on the following primary and secondary sources:

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